

TOWN OF LUNENBURG TOWN MANAGER



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UNDERSTANDING LUNENBURG'S FY27 BUDGET: How We Got Here, What Each Option Means, and What Comes Next

(LUNENBURG, MA)- Each winter work begins in earnest to develop the next fiscal year's budget. However, with budgetary pressures showing in recent years, including an override in FY25 to fund the Lunenburg Public Schools (LPS) and a one-time transfer of \$500,000 of free cash to LPS in FY26, Town and School leadership aligned early to take a coordinated, transparent, and collaborative approach to the FY 2027 budget.

Developing the Budget

The Select Board, School Committee, and Finance Committee formed the Tri-Board Committee in the summer of 2025 to tackle budget challenges facing Lunenburg. The Tri-Board examined revenues, expenditures, and service-level priorities across Town and School departments, in collaboration as opposed to segregation. Departments shared details on the services they provide, state and federal mandates, their future goals, and their operational difficulties.

The Tri-Board, as well as individual Boards and Committees, developed three budgets now before Lunenburg in an open and transparent manner. These budgets were built collaboratively, debated openly, and will now be considered by voters at the May 2, 2026, Annual Town Meeting and the May 16, 2026, Annual Town Election. This release is intended to give voters insight into how the budget is developed and what each option will mean for Lunenburg.

The Town Manager presented a preliminary budget to the Finance Committee on February 19, 2026, that reflected level services, but also incorporated targeted investments, such as the addition of a fourth shift in the Fire Department. That budget totaled approximately \$53.1 million, roughly \$3.36 million more than available revenues. This was not a final budget proposal, but was a starting point to quantify the gap between available revenues and budgetary requests.

Throughout February and March, department heads - from Fire Chief to the Library Director to the Superintendent - appeared before the Finance Committee to explain their needs, justify their requests, and answer questions from elected officials and the public. Those presentations are posted in full, with video recordings on the Town Budget Hub site on www.lunenburgma.gov/835.

Over several weeks, the budget was revised to reach a balance. Expense lines were reexamined to budget these lines closer to actual expenditures. This is a deviation from conservative budgeting and is not without consequence. Additionally, some service-level reductions were made to reflect current operational needs,

which are not restored in the Tier 1 or Tier 2 budgets, such as the elimination of a part-time position and reconfiguration of administrative roles in the Ritter Building.

The Revenue Reality

Understanding the FY27 budget begins with understanding revenue. Lunenburg's total revenue available for appropriation in FY27 is \$49,963,990.19.

Under Proposition 2½, the Town's property tax levy may grow by no more than 2.5% per year, plus new growth from new construction and development.

For FY27, that means:

- The FY26 levy limit of \$32,910,811 increases by 2.5%, adding \$822,770, an increase of \$175.88 to the average single-family home valued at \$517,296. (Voters interested in understanding their estimated tax increase without an override should visit the Division of Local Services (DLS) Property Tax Impact Calculator, select "Lunenburg" from the drop-down menu and insert \$822,770 into the field.)
- Estimated new growth of \$400,000 is added
- Excluded debt of \$2,199,352.52 is added, reflecting prior voter-approved debt obligations
- Maximum allowable property tax levy: \$36,332,933.80

State aid of \$11,404,917 is budgeted on the Governor's Local Aid proposal, as the state budget is not finalized until summer. Local receipts of \$3,508,024 are estimated conservatively, as directed by DLS. These include modest increases in Motor Vehicle Excise and Investment Income based on recent actuals.

After deducting non-appropriated expenses including Cherry Sheet assessments and the Assessors' Overlay, and the levy amount directed to the Capital Plan (\$244,576), \$49,963,990.19 remains for town and school operations.

However, Lunenburg faces a structural deficit when fixed costs grow faster than the 2.5% cap. These include items outside the Town's control: the Worcester Regional Retirement System assessment rose 9.95% - \$238,178 over FY26; and active and retiree health insurance saw a substantial increase of \$682,718.29 - town and school - over FY26. Meanwhile, the costs of services, fuel, utilities, and supplies continue to climb.

Three Budgets: What Voters Will Decide

The Town is presenting three budget options at Annual Town Meeting.

- The first is the balanced budget, which aligns spending with available revenue. This budget includes targeted investments in priority areas, preservation of critical services, but also reduces or eliminates funding in other areas to close the gap.
- The Tier 1, or "core services," budget builds off the balanced budget by restoring many of the reductions made to reach balance, while also making targeted investments in certain priority areas.
- The Tier 2, or "restorative services," budget reflects a return to the service levels the Town and School have been working toward.

For more details on the differences between the three budgets, please visit Town Budget Hub site on www.lunenburgma.gov.

The table below summarizes each scenario by spending category.

<i>Category</i>	<i>FY26 BUDGETED</i>	<i>FY27 BALANCED</i>	<i>FY27 TIER 1</i>	<i>FY27 TIER 2</i>
Culture & Recreation	\$ 639,036.76	\$ 598,960.20	\$ 661,168.24	\$ 661,168.24
Department of Public Works	\$ 2,476,953.29	\$ 2,188,527.18	\$ 2,554,677.51	\$ 2,554,677.51
Education	\$ 27,121,995.00	\$ 28,066,104.27	\$ 29,666,104.27	\$ 30,014,631.27
Facilities and Buildings	\$ 1,067,396.30	\$ 1,017,174.56	\$ 1,083,494.10	\$ 1,127,574.56
General Government	\$ 2,962,263.14	\$ 3,134,798.64	\$ 3,190,641.20	\$ 3,220,907.97
General Government Unclassified	\$ 4,107,709.13	\$ 4,494,862.61	\$ 4,519,862.61	\$ 4,644,862.61
Human Services	\$ 478,242.76	\$ 452,565.11	\$ 475,965.85	\$ 475,965.85
Intergovernmental Assessments (Excludes Cherry Sheet Assessments FY27)	\$ 3,425,578.98	\$ 2,635,339.93	\$ 2,635,339.93	\$ 2,635,339.93
Maturing Debt	\$ 2,547,440.36	\$ 2,537,578.36	\$ 2,537,578.36	\$ 2,537,578.36
Public Safety	\$ 4,547,849.28	\$ 4,810,579.33	\$ 4,969,309.80	\$ 5,312,329.72
Tax Title		\$ 27,500.00	\$ 27,500.00	\$ 27,500.00
<i>Omnibus Total</i>	<i>\$ 49,374,465.00</i>	<i>\$ 49,963,990.19</i>	<i>\$ 52,321,641.87</i>	<i>\$ 53,212,536.02</i>

The Balanced Budget: \$49,963,909.19

The FY27 balanced budget does not replicate FY26 services. It also reflects deliberate investments, including a dedicated Assistant Town Manager, an Assistant School Business Manager, and a fourth Fire Department shift as these investments were determined critical to the Town's long-term operational needs. Those investments are funded within the balanced budget by reductions elsewhere.

The result is a budget that is balanced to available revenue of \$49,963,990.19, but that looks and operates differently than FY26, with some services reduced, and others strengthened.

To fund those investments within available revenue, the balanced budget makes reductions across nearly every Department. Some reductions are restored in the various override scenarios, while others are not.

Voters should understand these reductions clearly:

- Public Safety: Per diem firefighter coverage reduced from 16 to 10 hours per day, limiting the ability to staff a second ambulance or maintain two firefighters on an initial fire call during evening hours. Expense and training lines are also reduced. The Police Department's administrative clerk position (16 hours/week) is eliminated, and public lobby access is reduced after 3:00 p.m.
- DPW / Roads: The Pavement Management Plan is reduced from \$282,000 to \$50,000. Drainage, stormwater compliance, and road supply budgets are also reduced.
- Library: The Young Adult Services Librarian position (30 hours/week) is eliminated and library materials and digital resources are also reduced.

- Council on Aging: The two Dietary Aide positions (9 hours/week) that support the senior meal program are eliminated (one position vacant). Supply funding and senior programming are reduced.
- Recreation: The part-time Recreation Director (19 hours/week) position is eliminated, ending town-run recreation programming. Beach programming is funded for summer 2026 only; the Town Beach would not open in summer 2027 if no override passes. Summer band concerts are also eliminated.
- IT / Communications: The IT and Communications Manager position (32 hours/week) is eliminated to partially fund the Assistant Town Manager position.
- Schools: The balanced budget results in substantial staff cuts in the Lunenburg Public Schools: two fewer teachers at the Primary School, two fewer teachers at the Turkey Hill, an occupational therapy assistant, an interventionist at the Primary School, an academic interventionist, and a custodian. Athletics and extracurricular activities are also impacted by the balanced budget with several sports and all athletic transportation being cut. The balanced budget includes the proposed additions of the Assistant Business Manager, an English Language Learning teacher, and a Special Education teacher at the Primary School.

The funding to operate the TC Passios building has been removed. The building will be decommissioned during FY27 due to its declining condition, annual operating costs, and required repairs. Additionally, approximately \$220,000 in non-attrition related cuts have been made in the municipal balanced budget and \$163,835 in the school's balanced budget that are not restored in any version.

Tier 1 Override: \$52,321,641.87 - Requires a \$2,400,000 Override

If voters approve the Tier 1 override at Town Meeting on May 2 and at the ballot on May 16, an additional \$2,357,651.68 becomes available above the balanced budget: \$1,600,000 for Lunenburg Public Schools and \$757,651.68 for municipal departments.

Under Tier 1, many of the reductions in the balanced budget are reversed:

- Fire: Per diem coverage restored to 16 hours per day. Fire training, EMS supply lines, protective equipment, and capital replacement budgets are restored to support operations, including the newly expanded fourth-shift.
- Police: Public lobby hours restored through the Salary Reserve/FF line. Uniforms and firearms qualifications budget restored.
- DPW: Pavement Management Plan restored to \$282,000. Drainage, stormwater compliance, and supply budgets restored. A new junior engineer/project manager position (\$86,000) is added to support MS4 (stormwater) compliance, contractor oversight, and capital project management. Currently the DPW Director is the only professional/engineering staff in the department.
- Library: Young Adult Services Librarian restored. Library materials, digital resources, and programming restored.
- Council on Aging: Dietary Aide funding restored. Senior programming and kitchen supplies restored.
- Recreation: Recreation Director position restored at current salary, allowing summer camps, programming, and beach operations to continue in 2027.
- IT / Communications Manager: Position partially restored at approximately 19 hours per week.
- Schools: \$1,600,000 restores most eliminated positions and allows the district to maintain current class sizes and specialized services.

What remains reduced under Tier 1: The Police administrative clerk (16 hours/week) is not restored. One Academic interventionist specialist position at the high school is not funded. These items are addressed in Tier 2.

Tier 2 Override: \$53,212,536.02 - Requires a \$3,300,000 Override

The Tier 2 override provides \$3,248,545.83 above the balanced budget: \$1,948,527 for Lunenburg Public Schools and \$1,300,018.83 for municipal departments.

In addition to everything restored in Tier 1, Tier 2 adds:

- Police: The fourth Sergeant position is restored. Two additional patrol officers are funded, returning the department to 14 officers in line with the Department's staffing plan and allowing the restoration of two School Resource Officers. The Police administrative clerk is also restored.
- IT / Communications Manager: Position is restored to approximately 32 hours per week, supporting public communications, technology coordination, and project support.
- Recreation: Director position funded at \$75,000, moving toward a full-time equivalent to expand year-round programming.
- Animal Control: Increased to \$80,000 to plan for sustainable long-term animal control services as the Town's current arrangement evolves.
- Board/Committee Clerk: Funding doubled to \$12,000 to support minute-writing for Town boards and commissions.
- Schools: \$1,948,527 restores all eliminated positions and supports additional program investments including an academic interventionist at the middle school and expanded school supplies, technology and maintenance.

How Does a "Tiered" Override Work

Under Massachusetts law, a community may present multiple override options with each tier representing a different level of funding.

Operationally:

- Town Meeting may adopt contingent budget appropriations tied to override outcomes;
- At the ballot, voters consider each override question separately;
- If multiple tiers are presented, the outcome is implemented based on the highest level of override approved by voters.

The Tax Impact

The current FY26 tax rate is \$14.39 per \$1,000 of assessed value. The FY27 tax rate is not set until late fall. The table below illustrates the estimated tax impact (per year) on the average home in Lunenburg.

FY 2026 Average Single Family Assessed Value	\$517,296
FY 2026 Average Single Family Tax Bill (current)	\$7,444
Estimated increase based on \$822,770 allowable levy limit increase under Prop 2 ½	\$175.88
Estimated increase based on Tier 1 (\$2.4M) Override- not including impact of levy limit increase above	\$506.95
Estimated increase based on Tier 2 (\$3.3M) Override- not including impact of levy limit increase above	\$689.35

Voters are encouraged to visit the Budget Hub site and use the impact calculator to estimate the tax impact for their parcel. This calculator estimates the impact of the override alone.

Free Cash

Free cash is created (or reduced) by any variances to budgeted revenues and expenditures, including local estimated receipts, such as motor vehicle excise tax, meals and rooms excise tax, and licenses and permits, as well as real and personal property taxes and amounts remaining in unspent budget lines. Certified free cash will also include prior year free cash amounts that were certified but unexpended from the prior year.

Per DLS, “As a nonrecurring revenue source, free cash should be restricted to paying one-time expenditures, funding capital projects, or replenishing other reserves.” DLS does not recommend that free cash be budgeted for ongoing operational purposes. The Town has its own policies regarding how Free Cash should be spent and prioritized.

DLS also recommends that communities understand the role free cash plays in sustaining a strong credit rating and strive to generate free cash in an amount equal to 5-7% of its annual budget. This year, Lunenburg certified a record \$3.354 million in free cash - 6.65% of the operating budget - well within DLS recommendations. In the last 10 years, Lunenburg has been below DLS free cash recommendations for seven years, only meeting this recommendation in 2022, 2023, and 2026.

At the end of FY25, the LPS District experienced a larger-than-normal budget surplus (more than double the historical average of \$200,000). The surplus was primarily caused by two factors: significant turnover and unfilled positions in the facilities department resulted in unspent salaries and stalled maintenance projects and several paraprofessional salaries were ultimately covered by newly identified grants. However, the previous administration did not adjust the general operating budget to reflect these savings. These unspent funds become part of the town's certified "free cash".

Key Dates and How to Participate

- Annual Town Meeting: Saturday, May 2, 2026, at 9:00 a.m., Lunenburg Middle/High School Auditorium. Open to all registered Lunenburg voters. Town Meeting votes on the balanced budget and the Tier 1/Tier 2 override articles.
- Annual Town Election: Saturday, May 16, 2026, 7:00 a.m.–5:00 p.m., T.C. Passios Building. All registered voters may vote on the override ballot questions.
- Voter registration deadline: Wednesday, April 22, 2026, at 5:00 p.m.
- Engage directly with Town Officials on the FY27 Budget at a “Budget Open House” on Tuesday, April 28th, at 7:00 p.m. at the Adult Activity Center/Eagle House.
- Town Meeting Booklet, presentations, budget documents and presentations, and FAQ: lunenburgma.gov/835
- All departmental budget presentations with video: lunenburgma.gov/827

Voters are encouraged to review the materials available online, ask questions, and participate in the Town Meeting process. These are consequential decisions, and informed voters are the foundation of good local government.